

Interview Feedback

Brew & Bean Profitability · 2026-07-19 · Overall: strong

Top improvement

Attach a risk and a validation next step to your recommendations, and match the confidence of your narrative to what the data actually supports — specifically, don't elevate an unverified 'operational waste' hypothesis to a co-primary recommendation, and add the supply-side lever (locking in bean contracts) that your own 40% bean-price finding points to.

Rubric Scores

Problem Structuring

strong

What went well

Opened by interpreting the paradox (revenue up, margin down) before laying out buckets, then gave three tailored, largely MECE buckets with sub-points.

"it's clear that costs are growing at a much faster rate than top-line revenue"

"I'd want to break my approach down into three main buckets: 1. Revenue Mix & Drivers ... 2. Cost Structure Breakdown ... 3. Competitor & Market Dynamics"

Prioritized decisively when pressure-tested, with logic tied to the specific situation.

"I would prioritize the Cost Structure Breakdown first. Since we already know that revenue is growing at a healthy 15%, we can infer that the brand still has strong demand"

"The issue isn't a lack of top-line growth; it's a massive efficiency leak"

Tailored the framework to a coffee chain rather than a generic template.

"Has there been a spike in coffee bean sourcing, dairy, or packaging costs?"

"if they started selling more low-margin food items or merchandise compared to high-margin specialty coffee, that could compress margins"

Quantitative & Analytical Rigor

strong

What went well

Laid out the equation before computing the COGS dollar impact and correctly sized the margin problem at \$76.8M.

"Instead, we are spending 58% of \$480M, which is \$278.4M. $\$278.4\text{M} - \$201.6\text{M} = \$76.8\text{M}$ "

"this \$76.8M doesn't fold in normal growth; it represents the exact amount of pure profit we are burning right now"

Correctly distinguished the margin-isolation figure from the total COGS spend growth, showing conceptual command of which quantity answers which question.

"Revenue two years ago was roughly \$417.4M ($\$480\text{M} / 1.15$)."

"about \$26.3M is just the normal cost of doing more business, and \$76.8M is the actual operational problem we need to fix"

Handled the nested-percentage conversion correctly — multiplying bean share of COGS by COGS share of revenue rather than mixing units.

" $42\% \text{ (Total COGS)} \times 25\% \text{ (Bean Share)} = 10.5\% \text{ of revenue}$ "

" $\$10.5\% \times 40\% = 4.2\%$ "

What needs work

The bean share of COGS (25%) was an assumption, not derived from data; the whole 'beans explain only a quarter' conclusion rests on an unverified assumption the candidate should have flagged more explicitly as sensitivity-dependent.

"If coffee beans are 25% of our original COGS (meaning they were 10.5% of total revenue)"

Data & Exhibit Interpretation

strong

What went well

Read the cost-structure exhibit systematically, isolated COGS as the sole driver, and contrasted it against flat labor and near-flat overhead.

"the culprit stands out immediately: COGS. Labor has stayed completely flat at 22% of revenue, and Overhead only crept up slightly by 2%"

"COGS skyrocketed from 42% to 58% over the last two years—a massive 16-point jump"

Moved straight from the pattern to a sharp 'so-what' and a next-step probe on what's inside COGS.

"This tells us the margin compression is almost entirely a cost-of-goods problem."

| "Is it a price issue ... or a volume/waste issue ... Do we have any data breaking down the components of COGS?"

Business Judgment & Insight

adequate

What went well

Prioritized the lever by speed-to-impact and control, a commercially sound rationale.

| "to reverse a margin crisis this severe, you need levers that have a high speed-to-impact and a high degree of control"

| "a price increase flows almost entirely to the bottom line with zero added variable cost"

Recognized demand elasticity implicitly by targeting select premium items rather than blanket increases.

| "we must implement a targeted 4% to 6% price increase on select premium items"

What needs work

Leaned heavily on a 'waste/inefficiency' narrative to explain the remaining COGS gap when the disambiguating data was never provided — bean inflation plus non-bean input inflation could plausibly close much of the gap without any waste, so anchoring on operational leakage overstates a diagnosis the data doesn't support.

| "The remaining gap is caused by unmitigated operational waste, broader supply chain inflation, or a failure to adjust menu prices"

| "we must look internally. We need to implement strict recipe standardization and inventory tracking across all 200 locations"

Did not surface the key risk of a price increase (demand elasticity / volume loss) despite recommending it as the primary lever.

| "By strategically adjusting menu prices to match macro-inflation, we can directly expand our revenue denominator"

Missed opportunities

When recommending a targeted price increase in turn 23, the candidate asserted it flows to the bottom line but named no risk.

A great answer: "The main risk is elasticity — if volume drops more than the price rise, we lose ground, so I'd pilot the increase on the least price-sensitive specialty SKUs first and monitor traffic before rolling it out, while in parallel locking in multi-year bean supply contracts to cap the cost side."

Creativity & Brainstorming

strong

What went well

Organized the brainstorm into a clean mini-structure of three drivers of the residual gap.

| "I would break the possibilities down into three structural buckets: 1. Other Input Cost Inflation (The "Price" Side) ... 2. Operational Inefficiencies (The "Volume/Waste" Side) ... 3. Pricing and Revenue Mix (The "Denominator" Side)"

Produced diverse, non-obvious ideas including over-portioning, product-mix shift, and discounting-driven revenue growth.

| "Over-portioning: Lack of recipe standardization across the 200 locations"

| "If the 15% revenue growth was heavily driven by "Buy One Get One" deals or deep discounts via a loyalty app, we are giving away high-cost goods for lower revenue"

Synthesis & Recommendation

adequate

What went well

Led answer-first with the diagnosis and a two-pronged action plan tied to the analysis.

| "a massive efficiency leak has eroded net profit margins from 24% down to 6%. This margin compression is driven entirely by a 16-percentage-point surge in COGS, which is draining \$76.8 million"

| "I recommend a immediate, two-pronged strategy"

Distinguished short-term (pricing) from medium-term (audit) actions, giving a sequenced plan.

| "Execute an Immediate Strategic Price Adjustment (Short-Term)"

| "Launch a Store-Level Waste Mitigation Audit (Medium-Term)"

What needs work

The recommendation names no risk and no next steps to validate assumptions, and the second pillar (waste audit) rests on an inference the available data does not confirm.

| "The remaining gap is caused by unmitigated operational waste, broader supply chain inflation, or a failure to adjust menu prices alongside rising input costs"

Missed the supply-side cost lever (locking in bean supply contracts) despite having established a 40% bean-price spike as a confirmed driver.

| "while we work on long-term supply chain fixes"

Missed opportunities

At the close in turn 23, the recommendation ended without a risk or a validation next step.

A great answer: “The key risk is that price increases dent volume, so my immediate next step is to pilot on low-elasticity specialty SKUs and, given beans are up 40%, negotiate multi-year supply contracts to lock in cost — then reconvene in 30 days on the pilot data before scaling.”

Communication & Delivery

strong

What went well

Consistently top-down and signposted, stating the headline before the detail throughout.

“the culprit stands out immediately: COGS.”

“I would prioritize the Cost Structure Breakdown first.”

Used clear discourse markers and hypothesis language, making each turn easy to follow.

“This suggests one of two things: either other core input costs ... or we have a major internal volume/waste issue”

“Here is why: to reverse a margin crisis this severe”

What needs work

Some numeric assertions were delivered with heavy emphasis ('massive', 'skyrocketed', 'leaking') that at times outpaced the certainty the data supported.

“Brew & Bean is leaking \$76.8 million in profit this year alone”

“COGS skyrocketed from 42% to 58%”

Pushback, Composure & Case Leadership

strong

What went well

Absorbed the growth-vs-margin challenge without capitulating, holding the \$76.8M as the correct quantity and explaining precisely why.

“That is a great catch. The \$76.8M strictly isolates the margin efficiency problem on today's volume”

“this \$76.8M doesn't fold in normal growth; it represents the exact amount of pure profit we are burning right now”

Responded to the unit-conversion probe by re-deriving cleanly rather than getting defensive, and drove next steps each turn.

“Let's trace that math step-by-step to see how a change in a sub-component impacts our top-line revenue percentage.”

“Do we have any data on whether our menu prices changed over these two years”

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: selectively raise prices by 8–12% on high-margin SKUs (specialty drinks) where demand is less elastic, while negotiating multi-year bean supply contracts to lock in cost. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Candidate · 0:21

That's a really interesting problem. Since revenue is actually growing by 15% but our net profit margin has plummeted from 24% down to 6%, it's clear that costs are growing at a much faster rate than top-line revenue. To dig into the root cause, I'd want to break my approach down into three main buckets: 1. Revenue Mix & Drivers Even though revenue is up, I want to see how it's growing. Is the growth driven by opening new stores, or are same-store sales actually increasing? Has the product mix shifted? For instance, if they started selling more low-margin food items or merchandise compared to high-margin specialty coffee, that could compress margins. 2. Cost Structure Breakdown This is likely where the core issue lies. I'd want to look at both variable and fixed costs: Variable Costs (COGS): Has there been a spike in coffee bean sourcing, dairy, or packaging costs? Fixed Costs: With 200 locations, labor and rent are huge. Did they recently increase barista wages, or are they locked into more expensive retail leases? If they expanded heavily in the last two years, massive up-front operational or corporate overhead costs could be eating the profits. 3. Competitor & Market Dynamics Are competitors undercutting prices, forcing Brew & Bean to increase marketing spend or offer deep discounts? Is there a broader macroeconomic factor, like general supply chain inflation, affecting the specialty coffee industry as a whole? To start, do we have any data on whether this profit decline is happening across all 200 stores equally, or is it isolated to a specific region or newer locations?

Interviewer · 0:24

Understood. Before we pull data, one pressure test on your structure.

Of those three buckets, which do you prioritize first, and why?

Candidate · 0:38

I would prioritize the Cost Structure Breakdown first. Since we already know that revenue is growing at a healthy 15%, we can infer that the brand still has strong demand and customer traction. The issue isn't a lack of top-line growth; it's a massive efficiency leak. A drop from 24% to 6% in net profit margin over just two years is severe. That indicates a drastic shift in expenses that is completely outpacing revenue growth. By drilling directly into the cost structure first—specifically looking at COGS (like bean sourcing) and Store Operations (like labor and rent)—we can quickly pinpoint exactly where the money is bleeding out before we look at secondary factors like product mix or external market dynamics.

Interviewer · 0:40

Reasonable. Then let's start there.

What's the first piece of cost data you'd want to see?

Candidate · 0:53

I would want to see a comparative breakdown of total expenses from two years ago versus today, categorized by percentage of revenue. Specifically, I'm looking for line items like: COGS (coffee beans, milk, syrups, cups) Store Labor (barista and manager wages) Store Occupancy (rent and utilities) Corporate Overhead / SG&A (marketing, corporate salaries, expansion costs) Seeing how these buckets have grown relative to that 15% revenue bump will immediately show us which specific expense category is causing the margin squeeze. Do we have that breakdown?

Interviewer · 0:55

We have exactly that. Here's the cost structure over time.

Candidate · 1:14

Looking at this data, the culprit stands out immediately: COGS. Labor has stayed completely flat at 22% of revenue, and Overhead only crept up slightly by 2% (from 12% to 14%). However, COGS skyrocketed from 42% to 58% over the last two years—a massive 16-point jump. This perfectly mirrors the 18% drop in our profit margin (from 24% down to 6%). This tells us the margin compression is almost entirely a cost-of-goods problem. To double-down on this, I'd want to understand why COGS is spiking so heavily. Is it a price issue (e.g., the cost of coffee beans, milk, or cups has surged due to supplier changes or inflation) or a volume/waste issue (e.g., severe inventory spoilage or heavy promotional discounting where we give away high-cost items)? Do we have any data breaking down the components of COGS?

Interviewer · 1:18

I don't have an itemized COGS breakdown. But I can give you the change in coffee bean prices over the two years.

Before that — you said the 16-point COGS jump mirrors the margin drop. If you had to value that COGS increase in dollars, how would you do it?

Candidate · 1:39

To calculate the exact dollar value of that COGS increase, I would use a two-step formula based on our total revenue: Calculate the total absolute dollar change in COGS: $\Delta \text{COGS} = (58\% \times \text{Current Revenue}) - (42\% \times \text{Revenue 2 Years Ago})$ Isolate the "inefficiency impact" on today's business: To see exactly how much money we are leaving on the table right now due to this margin erosion, I'd calculate the excess COGS on our current volume: $\text{Excess COGS} = 16\% \times \text{Current Revenue}$ Since we know revenue grew by 15%, if we have the absolute dollar amount for either our current revenue or our revenue from two years ago, we can plug it right in to get the exact dollar figure. Do we have that total revenue number?

Interviewer · 1:41

We do. Here's the total annual revenue. Total revenue is \$480M a year.

Candidate · 2:00

With our current annual revenue at \$480M, that 16-percentage-point jump in COGS means Brew & Bean is leaking \$76.8 million in profit this year alone compared to two years ago. That is a massive number—it basically explains the entire profit crunch. Now that we know the scale of the leak, I'd love to look at that coffee bean price data you mentioned. Let's see if skyrocketing raw material costs explain this \$76.8M hit, or if something else is going on.

Interviewer · 2:04

One check on that figure. That excess COGS sits on today's revenue, but two years ago revenue was lower.

Does your \$76.8M isolate the margin problem, or does it fold in normal growth? Walk me through it.

Candidate · 2:18

That is a great catch. The \$76.8M strictly isolates the margin efficiency problem on today's volume, rather than comparing it to historical dollars. Here is how to think about it: If Brew & Bean had kept its operations just as efficient as they were two years ago, COGS would still be 42% of revenue. On a \$480M run rate, that would mean spending \$201.6M on COGS. Instead, we are spending 58% of \$480M, which is \$278.4M. $\$278.4\text{M} - \$201.6\text{M} = \$76.8\text{M}$ So, this \$76.8M doesn't fold in normal growth; it represents the exact amount of pure profit we are burning right now because our current unit economics are worse. If we wanted to see how much total COGS dollars increased compared to two years ago (which would fold in normal volume growth), we would look at the historical revenue: Revenue two years ago was roughly \$417.4M ($\$480\text{M} / 1.15$). COGS back then was 42% of that, which is \$175.3M. Total absolute COGS growth is $\$278.4\text{M} - \$175.3\text{M} = \$103.1\text{M}$. Out of that \$103.1M total increase, about \$26.3M is just the normal cost of doing more business, and \$76.8M is the actual operational problem we need to fix.

Interviewer · 2:21

That holds. Now let's test the driver.

Here's the coffee bean price change over two years. Raw coffee bean costs are up 40% over the past two years.

Candidate · 2:34

A 40% spike in raw coffee bean prices is substantial, but we need to see if it actually explains the full 16-point jump in COGS. To determine this, we need to know how much of our total COGS is actually made up of coffee beans. In a typical specialty coffee shop, coffee beans usually only make up about 20% to 30% of total COGS—the rest goes to dairy, syrups, cups, lids, and pastries. If coffee beans are 25% of our original COGS (meaning they were 10.5% of total revenue), a 40% price spike would only increase our overall COGS by about 4.2 percentage points ($10.5\% \times 1.40$). Even if coffee beans were an incredibly high 50% of our original COGS (21% of revenue), a 40% spike would only increase overall COGS by 8.4 percentage points. Since our COGS actually jumped by 16 percentage points, raw bean inflation cannot be the whole story. Even with a 40% price hike, it likely explains less than half of our problem. This suggests one of two things: either other core input costs (like dairy or packaging) spiked even harder, or we have a major internal volume/waste issue. Do we have any data on whether our menu prices changed over these two years, or if our physical inventory waste has increased?

Interviewer · 2:36

One unit check. You assumed beans are a share of COGS, then converted to points of revenue.

Walk me through that conversion once more — beans at 25% of COGS, what does the 40% hike add in points of revenue?

Candidate · 2:50

Let's trace that math step-by-step to see how a change in a sub-component impacts our top-line revenue percentage. Two years ago, total COGS was 42% of revenue. If coffee beans made up 25% of that COGS, we find their baseline share of revenue by multiplying the two percentages: $42\% \times 25\% = 10.5\%$ of revenue. Now, if raw bean

prices spike by 40%, the cost of those beans increases by that factor: $\$10.5\% \times 40\% = 4.2\%$. So, that 40% commodity price spike would add exactly 4.2 percentage points to our total COGS-to-revenue ratio, shifting total COGS from 42% to 46.2%. Since our actual COGS jumped to 58% (a 16-point increase), this confirms that bean inflation alone only covers roughly a quarter of the total margin erosion ($\frac{4.2}{16}$). The remaining 11.8 percentage points must be coming from elsewhere.

Interviewer · 2:52

That holds. So beans are only part of the story.

Beyond bean inflation, what else could be driving that remaining gap? Give me a structured set of possibilities.

Candidate · 3:09

To account for that remaining 11.8-percentage-point gap, we need to look at factors that change either our input costs or our revenue-to-volume ratio. I would break the possibilities down into three structural buckets:

- 1. Other Input Cost Inflation (The "Price" Side)** It's highly likely that coffee beans aren't the only supply chain line item suffering from inflation or pricing changes.
 - Non-Bean COGS Inflation:** Significant price spikes in dairy, alternative milks, syrups, or food/pastry items from third-party vendors.
 - Packaging and Consumables:** A surge in the cost of paper cups, lids, sleeves, and napkins, potentially driven by a switch to premium or eco-friendly materials.
- 2. Operational Inefficiencies (The "Volume/Waste" Side)** Even if input prices stayed flat, using more physical inventory per dollar of revenue will cause COGS to spike.
 - Inventory Spoilage and Shrinkage:** Poor inventory management at the store level leading to expired milk, stale pastries, or thrown-out coffee batches.
 - Over-portioning:** Lack of recipe standardization across the 200 locations (e.g., baristas using too much milk or syrup per drink).
 - Theft or Unrecorded Transactions:** Employees giving away free drinks to friends or inventory simply going missing.
- 3. Pricing and Revenue Mix (The "Denominator" Side)** Because COGS is expressed as a percentage of revenue, actions that lower our average revenue per unit sold will artificially inflate that percentage.
 - Lagging Menu Prices:** If input costs rose across the board but Brew & Bean resisted raising menu prices to match, the COGS percentage would automatically increase.
 - Heavy Promotion and Discounting:** If the 15% revenue growth was heavily driven by "Buy One Get One" deals or deep discounts via a loyalty app, we are giving away high-cost goods for lower revenue.
 - Product Mix Shift:** A structural shift where customers are buying lower-margin items (like outsourced pastries) instead of our highest-margin item (black coffee/espresso). If we could look at changes in average ticket size or historical menu price adjustments, that would quickly tell us if the problem is on the pricing side or the physical operational side.

Interviewer · 3:11

That's a comprehensive set. Let's push on prioritization.

Of all those, which single lever would you pursue first to reverse the margin decline, and why?

Candidate · 3:39

I would immediately pursue Menu Pricing Adjustments (The Denominator Side). Here is why: to reverse a margin crisis this severe, you need levers that have a high speed-to-impact and a high degree of control. Trying to negotiate lower dairy prices across a fractured supply chain or retraining baristas at 200 stores to stop wasting milk takes months of operational friction, and the savings roll in slowly. On the flip side, if our input costs (like beans) skyrocketed by 40% over two years and we haven't touched our menu prices, our unit economics are fundamentally broken. By strategically adjusting menu prices to match macro-inflation, we can directly expand our revenue denominator. Because a price increase flows almost entirely to the bottom line with zero added variable cost, it is the single fastest way to immediately blunt that 16-point COGS surge and protect our cash flow while we work on long-term supply chain fixes. To validate this, I'd want to look at whether Brew & Bean has raised its prices at all over the last two years.

Interviewer · 3:42

We're near time, so let's land it.

Bring it together for the CEO — what's your recommendation?

Candidate · 3:58

Executive Summary for the CEO "Brew & Bean is experiencing a classic growth trap: while the brand is strong and revenue has grown a healthy 15% to \$480M, a massive efficiency leak has eroded net profit margins from 24% down to 6%. This margin compression is driven entirely by a 16-percentage-point surge in COGS, which is draining \$76.8 million in pure profit from the business annually. While raw coffee bean prices have spiked by 40%, our analysis shows this commodity inflation only accounts for about a quarter of the problem. The remaining gap is caused by unmitigated operational waste, broader supply chain inflation, or a failure to adjust menu prices alongside rising input costs.

Recommended Action Plan To reverse this decline and recover our missing millions, I recommend an immediate, two-pronged strategy:

- Execute an Immediate Strategic Price Adjustment (Short-Term):** Because input costs have risen dramatically, we must implement a targeted 4% to 6% price increase on select premium items. Because price increases have zero variable cost, this will act as the fastest lever to expand our revenue denominator, immediately blunt the COGS surge, and flow straight to the bottom line.
- Launch a Store-Level Waste Mitigation Audit (Medium-Term):** Since bean inflation doesn't explain the whole gap, we must look internally. We need to implement strict recipe standardization and inventory tracking across all 200 locations to target milk, syrup, and food spoilage, clamping down on the operational leakage. By matching our

pricing to market realities and tightening store-level controls, we can protect our 15% top-line growth while systematically restoring Brew & Bean back toward its historic 24% profitability."

Interviewer · 4:00

That's a clear recommendation, and it's a good place to stop.

Thank you for working through this — you'll receive a full written report with detailed feedback. That's all for today.